

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: July 06, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-07-06

HOLD

Composite · Valuation: HOLD

Target \$1237.25 · +2.7% upside

Price \$1204.24

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$1237.25 (+2.7% vs \$1204.24); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$1237.25	45%
FSA	Stable	Health -0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.80 · 12m +55%	15%
Composite	HOLD	Score +0.22 · 50% confluence	—

Mixed signals across pillars.

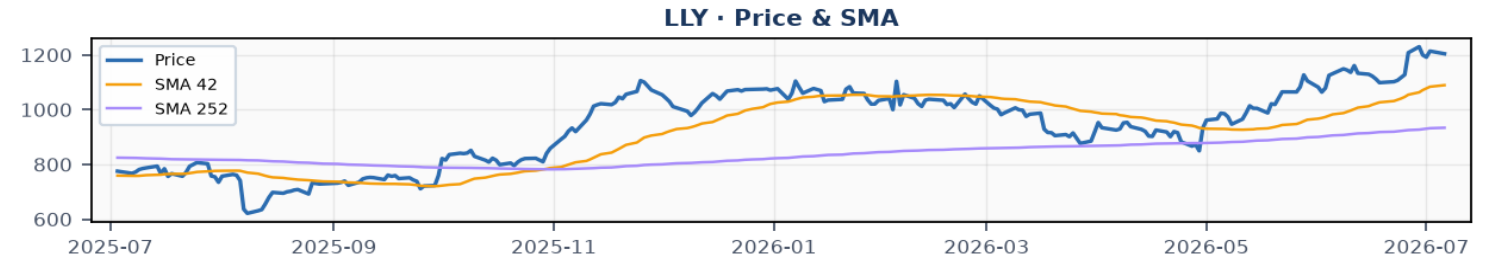
INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **HOLD** rating; blended target \$1237.25. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.07T	Shares Out.	891.7M
52-Week Range	\$623.78 – \$1238.00	P/E (TTM)	42.8x
P/B	34.5x	Beta	0.51
Avg Volume	3.28M	Analyst Rec.	Buy
Revenue (TTM)	\$72.25B	Rev Growth	+55.5%
Op. Margin	49.4%	FCF (TTM)	\$5.96B
Gross Margin	82.8%	ROE	1.1%
EV/EBITDA	30.9x	Debt/Equity	139.0%
EPS (TTM)	\$28.16	Div Yield	57.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	45,043	65,179	101,353	141,489	181,771
Revenue Growth (%)	N/A	44.7%	55.5%	39.6%	28.5%
Net Income (\$M)	10,590	20,640	32,095	44,805	57,561
Gross Margin (%)	81.3%	83.0%	82.8%	82.8%	82.8%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
EPS (\$)	11.88	23.15	35.99	50.24	64.55
P/E (x)	101.40	52.03	33.46	23.97	18.66

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$1089.39	Short-term trend	12m Momentum	+55.3%	
SMA (252d)	\$933.89	Long-term trend	3m Momentum	+30.1%	
RSI (14d)	65.1	Momentum oscillator	Ann. Volatility	32.5%	
Trend	Bullish		Sharpe Ratio	1.11	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+350.6%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$1089.39,...	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	30.0%	B&H; 39.9%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE)	\$246.56	-79.5%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)	Ke · Terminal g	7.50% · 1.50%
					FCFE growth	19.43%
					Equity value	\$219.87B
Comps — Blended (median of multiples + uplift anchors)	\$1241.46	+3.1%	80%	Included in blend	Implied price	\$246.56
					vs. current	-79.5%
Analyst consensus (Yahoo Finance)	\$1220.39	+1.3%	20%	Included in blend		
Blended target (weighted)	\$1237.25	+2.7%	100%	Comps 80% + Analyst 20%		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	\$313.30B	35.7x	12.3x	13.6%	+4.9%
ABBV	AbbVie Inc.	\$451.84B	125.4x	17.5x	5.8%	+12.4%
PFE	Pfizer, Inc.	\$135.73B	18.2x	7.5x	11.8%	+5.4%
JNJ	Johnson & Johnson	\$622.36B	30.0x	19.4x	21.8%	+9.9%
LLY*	Eli Lilly and Company	\$1.07T	42.8x	30.9x	35.0%	+55.5%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (55.5% YoY); High operating leverage (49.4% margin); Defensive profile (β=0.51) · Risks: Elevated leverage (D/E: 139%); Premium valuation (P/E: 42.8x) Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.